TOPIC 1 · THE GLOBAL ECONOMY

AP · Reuters
31 Oct – 1 Nov 2026

China's factories slow as export orders fall

China's official factory survey slipped back into contraction in October, with new export orders falling. That matters for Australia, because China is the biggest buyer of our iron ore.

WHAT HAPPENED

- **Official PMI** fell to 49.3 in October from 50.1, below the 50 line that separates growth from contraction.
- **New export orders** dropped to 48.7 from 50.0, and the production index fell to 49.8.
- **Private PMI** (RatingDog/S&P Global) held at 52.0, but export orders grew at a three-month low and export prices fell.
- **Trade imbalance:** China's surplus was about US$800 billion by August, on track to beat 2025's US$1.2 trillion record.

KEY TERMS

PMI: Purchasing Managers' Index: a business survey where above 50 means expansion and below 50 means contraction.

Trade surplus: Exports exceed imports in value.

Terms of trade: Export prices relative to import prices.

BY THE NUMBERS

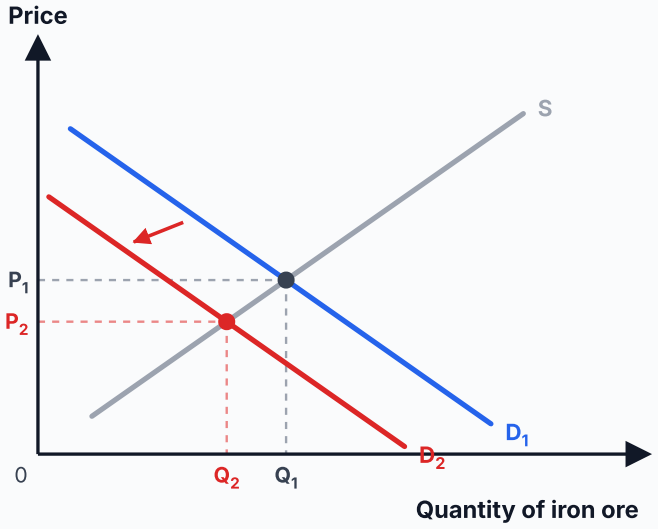
49.3
China official manufacturing PMI, Oct

48.7
New export orders index, Oct

52.0
Private (RatingDog) PMI, Oct

US$90.80
Iron ore a tonne, Fri 31 Oct

DIAGRAM Weaker Chinese demand for iron ore



If Chinese steel mills cut output, **world demand for iron ore** shifts from **D_1 to D_2**. The price falls from P_1 to P_2 and the quantity traded falls from Q_1 to Q_2. Lower export prices reduce Australia's **terms of trade** and national income.

Diagram is illustrative, not to scale.

Exam angle: Link China's growth to Australia through the **terms of trade**, export revenue, company-tax receipts and the AUD.

FLOW CHART The chain of cause and effect

China factory output slows → Less steel demand → Iron ore prices fall → **Australia's terms of trade decline**

SYLLABUS LINK

Topic 1 – economic growth in China and global trade imbalances. Topic 2 – Australia's terms of trade.

TRY THIS

Explain how a slowdown in China's manufacturing sector could affect Australia's terms of trade and current account. **(4 marks)**

Sources: AP via WPXI – China factory activity contracts in October, 31 Oct 2026 – https://www.wpxi.com/news/business/chinas-factory/UAWDXJV27M6LZNHTN2G2DMEGTQ/ · Reuters – China private PMI, 1 Nov 2026 – https://1027wbow.com/2026/11/01/china-factory-growth-slows-in-october-as-export-orders-ease-private-pmi-shows/ · AP/PBS – US and China tariff-cut lists, 28 Sep 2026 – https://www.pbs.org/newshour/world/u-s-and-china-release-product-lists-for-tariff-cuts-after-trump-xi-meeting